

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO.
24-24

S.P.F. LOGISTICS, INC.
Complainant,

v.

HAPAG-LLOYD AG
Respondent.

COMPLAINANT’S OPPOSITION TO RESPONDENT HAPAG-LLOYD AG’S

MOTION FOR SUMMARY JUDGMENT

Comes now, Complainant, S.P.F. Logistics, Inc. (“SPF”) and hereby submits its opposition to the motion for summary judgment filed on behalf of Hapag-Lloyd AG (“Hapag”) which seeks to dismiss SPF’s complaint against Hapag alleging violations of the Shipping Act of 1984, as amended (the “Act” or “Shipping Act”) at 46 U.S.C. §41102(c) for lack of subject matter jurisdiction. To be clear, Hapag does not attack the underlying merits of the claimed Shipping Act violations, but instead seeks to dismiss the complaint based on jurisdictional grounds.

SUMMARY OF ARGUMENT

This Presiding Officer has previously confirmed Federal Maritime Commission (the “Commission”) jurisdiction over nearly identical claims against Hapag in the past in FMC Docket 21-09, 2022 FMC Lexis 156, ALJ Initial Decision, April 22, 2022. Ignoring this past ruling and the explicit language of the Act, Hapag attempts to convince the Presiding Officer that the

Commission lacks jurisdiction to hear SPF's complaint which unequivocally alleges violations of the Act at 46 U.S.C. §41102(c). Hapag relies solely upon misinterpreted and out of context snippets from a proposed rule making issued by the Commission implementing certain billing practices under the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) at 46 U.S.C. §41104(d)(2). Notwithstanding that OSRA 2022 and the proposed rulemaking were promulgated after the shipments and invoices listed in the complaint, Hapag attempts to use the strained reading of the Commission’s comments in an effort to insulate itself from its Shipping Act violations.

Hapag incorrectly argues that if the movement of the empty containers as alleged in the complaint were not part of overall transportation vis through bills of lading aka a “through move”, the Commission does not have jurisdiction over SPF’s claims. However, SPF will show the Commission has explicit jurisdiction over ocean common carrier Hapag’s Shipping Act violations regardless if they are associated with through moves. The fact that the Commission also has additional jurisdiction over Shipping Act violations that may occur during “through moves”, does not vitiate the jurisdiction over SPF’s claims in the first instance. Instead, the through move argument is a red herring created by Hapag in an effort to divert attention from its Shipping Act violations. The Act, the Commission's interpretive rules, and Commission precedent make it clear that the Commission has jurisdiction over SPF’s claims.

BACKGROUND FACTS

Apart from being a motor carrier, SPF is a “person” as contemplated by the Act, 1 U.S.C. §1 (SPF’s Separate Statement of Disputed and Undisputed Facts¹, No. 6, attached as Exhibit A hereto). Hapag is a vessel-operating common carrier (SSF No. 1). As applicable to the dispute, SPF has alleged in its complaint that it was unable to return empty containers in the ports of Los

¹ Hereinafter “SSF”.

Angeles and Long Beach to Hapag designated terminals due to the lack of locations to return containers, the inability to return containers because of insufficient or non-existent appointments (SSF No. 6), or that other requirements were unlawfully imposed on the return of containers such as a dual transaction requirement (SSF No. 7). Notwithstanding the inability to return the empty containers through no fault of its own, SPF was subject to detention charges by Hapag (SSF No. 8). In addition to being assessed detention charges, SPF was damaged because it had to incur storage charges for the containers that were not able to be returned, additional drayage charges to move the empty containers to a storage yard, and other damages, according to proof (SSF No. 9).

It is of no consequence to SPF's claim whether the shipments in question were under through bills of lading or not. SPF's claims, at their core, concern the inability of Hapag to have adequate space and appointments or procedures to allow the timely return of empty containers to its designated terminals (SSF Nos. 6-9). Hapag's obligation to timely allow the return of an empty container is part of its obligations as an ocean common carrier and is not dependent on through or "merchant haulage" moves, for example see 46 C.F.R. §545.5(c)(2)(ii). Hapag, as an ocean common carrier, was responsible for having adequate terminal facilities to accept their empty containers for "merchant haulage" *and* through moves, 85 FR 29638, 29650.

Trying to circumvent obvious jurisdiction over SPF's claims, Hapag argues in its motion that the Commission does not have jurisdiction over Hapag's Shipping Act violations alleged by SPF unless the shipments in question were under a through bill of lading. Noting in the Act suggests such a limitation. Instead, Hapag's argument misconstrues the comments by the Commission upon which it relies, ignores the explicit language of the Act, the regulations promulgated by the Commission, and also Commission precedent including a prior adverse ruling against Hapag. It is clear beyond cavil that the Commission had and continues to enjoy jurisdiction

over ocean common carriers, such as Hapag, for any Shipping Act violation which it has committed.

ARGUMENT

1. This Presiding Officer has previously held similar claims against Hapag were within the Commission's jurisdiction.

In *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, FMC Docket No. 21-09, 2022 FMC Lexis 156 (ALJ), the Commission “issued an Order of Investigation and Hearing (“OIH”) initiating this adjudicatory proceeding against Respondents Hapag-Lloyd, A.G. (“HLAG”) ..., and naming the Commission's Bureau of Enforcement (“BOE”) as a party. The OIH initiated this proceeding to: determine whether Hapag is in violation of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by its practice of assessing detention charges when: either (a) Hapag Lloyd failed to provide an equipment return location, or (b) if Hapag Lloyd did provide an equipment return location, appointments were unavailable for equipment return during the allocated free time. Furthermore, upon such charges being disputed and evidence being produced to Hapag-Lloyd that no such appointments were available during free time, Hapag-Lloyd failed to waive detention. If so, this proceeding also shall determine whether civil penalties should be assessed and, if so, in what amount, and whether a cease-and-desist order should be issued.” Id., 2022 FMC Lexis 156 at *1, ALJ Initial Decision, April 22, 2022, page 1. SPF has made similar allegations against Hapag (SSF Nos. 6-9).

Thereafter this Presiding Officer confirmed jurisdiction over the §41102(c) claims against Hapag, for the “merchant haulage” moves therein, before finding liability: “**1. Jurisdiction** The Shipping Act provides that a ‘person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.’ 46 U.S.C. § 41301(a). Pursuant to this provision, the

*Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., Docket No. 02-04, 2006 FMC LEXIS 19, at *33, 30 S.R.R. 991, 997-99 (FMC May 10, 2006); see also Cargo One, Inc. v. Cosco Container Lines Co., Docket No. 99-24, 2000 FMC LEXIS 14, at *34, 28 S.R.R. 1635, 1645 (FMC Oct. 31, 2000). **Complainants allege a violation of the Shipping Act within the Commission's jurisdiction.***” (emphasis added), Id, 2022 FMC Lexis 156 at *39-40, Docket no. 21-09, ALJ Initial Decision, April 22, 2022, page 22.

2. The Act does not impose any jurisdictional limitation on the Commission's ability to enforce Shipping Act violations committed by ocean common carrier Hapag as alleged by SPF.

As indicated above, the Commission has jurisdiction over complaints filed by *any person* alleging a violation of the Act, see 46 U.S.C. §41301(a). SPF is a “person” as contemplated by the Act, see 1 U.S.C. §1. SPF has clearly alleged violations of the Act at 46 U.S.C. §41102(c) (SSF Nos. 6-10). In support of its claims against Hapag, SPF alleges the return of empty containers to a common carrier relates to, or is connected with, the receiving, handling, storing, or delivering property, as contemplated by the Act at 46 U.S.C. §41102(c), see also 46 C.F.R. § 545.5(b) and (c)(2)(ii) (SSF No.11). In addition, an ocean common carrier such as Hapag, is responsible for having adequate terminal facilities for the acceptance of returned empty containers. See 85 FR 29638, 29650 (SSF Nos.11 and 12).

Simply, the Commission has jurisdiction over Shipping Act violations committed by Hapag as an ocean common carrier, even if complainant is a motor carrier. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, supra.

3. Hapag misconstrues isolated comments made by the Commission in its proposed rulemaking concerning implementation 46 U.S.C. §41104 of OSRA 2022 which was enacted after the shipments and invoices at issue.

Hapag, inappropriately, attempts to use out of context comments by the Commission in its proposed rulemaking as required by OSRA 2022 (effective as of June 16, 2022) which was related to billing practices, 46 U.S.C. §41104(d)(2). The rule making was ultimately codified at 46 C.F.R. § 541.1 et. seq. The regulation's stated purpose was to establish minimum information that must be included on or with detention invoices and to establish procedures when invoicing for detention, 46 C.F.R. §541.1. First as a preliminary matter, SPF has not alleged any violation of 46 U.S.C. §41104(d)(2) or issues with the content of the invoices provided by Hapag. Second, OSRA 2022 and the related Commission rule making related to 46 C.F.R. part 541 became effective after the shipments at issue (SSF 13).

The applicable sections of OSRA 2022 and implementing regulations at 46 C.F.R. §541.1 et. seq. generally prohibit an ocean common carrier from invoicing detention to a motor carrier. see 46 U.S.C. §41104(d)(2). In is proposed rulemaking supporting 46 C.F.R. part 541, the Commission commented that notwithstanding the general prohibition against issuing detention invoices to motor carriers, the requirements in Part 541 would only apply to invoices relating to ocean carriers directly contracting with motor carriers for the through movement of the ocean carriers' cargo. 89 FR 39569, 39570. However, the Commission's opining on its possible jurisdiction over *other* ocean carrier-motor carrier contracts which are not applicable here, does not mean the Commission shirked it jurisdictional responsibility to adjudicate sworn complaints for violations of the Act, (46 U.S.C. §41301(a)) against ocean common carriers. SPF's

participation in the UIIA does not change this result. Ocean carrier practices, whether per the UIIA or not are still subject to scrutiny under §41102(c), see 85 FR 29638, 29649.

The Commission's jurisdiction for Shipping Act violations during through moves is not in lieu of direct jurisdiction over ocean common carriers for Shipping Act violations otherwise committed, but rather it is in addition to such jurisdiction. The Commission explained that its jurisdiction *includes*, jurisdiction over through movements, not that its jurisdiction was extinguished if a through shipment is not at issue. For example, the Commission noted with regard to detention originating from rail yards: "Ocean cargo that is shipped under a through bill of lading to a final destination in the United States *remains* under Commission jurisdiction for any Shipping Act violations, including violations occurring under OSRA 2022..." 89 FR at 14353.

Indeed, in the same proposed rulemaking upon which Hapag relies, the Commission, on several occasions confirmed its jurisdiction over ocean common carriers and any related Shipping Act violations:

"The commission has jurisdiction over common carriers.... *including* over through transportation. 89 FR at 14336; "The *Commission has direct jurisdiction over common carriers*, marine terminal operators (MTOs), and ocean transportation intermediaries. This *includes* jurisdiction over through transportation...". 89 FR at 14353. (emphasis added)

Thus, the respondent creates a red herring in its attempt to turn the jurisdictional question on its head. The Commission, unequivocally, has direct jurisdiction over Hapag, an ocean common carrier, for its Shipping Act violations concerning the return of empty containers, whether committed during through transportation or not.

Further even if SPF's claims were based upon a breach of contract, which they are not, related Shipping Act violations are still within the Commission's jurisdiction, see *MSRF, Inc. v.*

HMM Co. Ltd., FMC Docket 22-20, 2023 FMC Lexis 551 *30, ALJ Initial Decision page 18, “...the Commission found that it is appropriate to assert jurisdiction over Shipping Act violations, regardless of whether they may overlap with breach of contract claims...”.

4. Respondent’s attempt to use a motion for summary judgment to challenge jurisdiction at this stage of the litigation is inappropriate and premature.

Instead of a motion to dismiss for lack of jurisdiction, Hapag’s chose to use a motion for summary judgment to respond to SPF’s complaint. SPF contends, Hapag’s motion should instead be more appropriately viewed as a motion to dismiss for lack of jurisdiction under FRCP Rule 12(b)(1). As such, if the Presiding Officer is inclined to grant Hapag’s motion since it based on the allegations of SPF, SPF should be given leave to amend, see FRCP Rule 15(a), 28 U.S.C. §1653.

5. While SPF concedes that the Commission does not have a specific procedural rule regarding motions for summary judgment, Hapag has not met its burden to prevail.

Summary judgment is appropriate only where the record read and light most favorable to the non-moving party indicates that there is no genuine issue as to any material fact and the moving party is entitled to judgment as a matter of law. FRCP Rule 56(c); see also *Celotex Corp v. Catrett*, 477 U.S. 317, 323-24 (1986). Material facts are those necessary for the proof or defense of the claim as determined by reference to substantive law. *Anderson v. Liberty Lobby Inc.*, 477 U.S. 242, 248 (1986). The court must assume the truth of direct evidence set forth by the opposing party and may consider the plausibility and reasonableness of any inferences arising from circumstantial evidence offered by that party. see *Kortan v. State of California* 5 F. Supp. 2d 843, 848 (CD Cal. 1998) citing *Hanon v. Dataproducts Corp.*, 976 F. 2d 497, 507 (9th Cir. 1992). Undisputed material facts confirm: Hapag is an ocean common carrier (SSF No. 1); SPF is a “person” as

contemplated by the Act, 1 U.S.C. §1 (SSF No. 5) and SPF has alleged Shipping Act violations against Hapag (SSF Nos. 6-12). As such, as a matter of law, the Commission has jurisdiction over SPF's claims, 46 U.S.C. §41301(a); *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, FMC Docket No. 21-09, 2022 FMC Lexis 156 (ALJ).

6. Conclusion. Hapag has failed to adequately show how SPF's claims are not within the jurisdiction of the Commission to adjudicate violations of the Shipping Act, as previously held *against* Hapag. Hapag does not dispute the underlying facts that give rise to the alleged violations of the Shipping Act committed by Hapag, but only seeks to obfuscate its Shipping Act violations by erroneously claiming that the Commission does not have jurisdiction over SPF's claims unless they were a result of transportation under a through bill of lading. The Act, and precedent against Hapag is quite clear that any violation of the Act, whether occurring during through transportation or not, can be adjudicated by the Commission, 46 U.S.C. § 41301(a).

Date: September 26, 2024

Respectfully submitted,

**Stephen
M. Uthoff**

Digitally signed by
Stephen M. Uthoff
Date: 2024.09.26
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Stephen M. Uthoff
The Uthoff Law Corporation
111 W. Ocean Blvd., Suite 400
Long Beach, California 90802
t. 562-437-4301
f. 562-437-4341
email; suthoff@uthofflaw.com
Attorneys for Complainant,
S.P.F. Logistics, Inc.

EXHIBIT A

SEPARATE STATEMENT OF DISPUTED AND UNDISPUTED FACTS

Facts offered by Hapag:

1. Hapag-Lloyd AG (“Respondent”) is an ocean common carrier. Complaint², ¶ 7.

Response by SPF: Admit.

2. S.P.F. Logistics, Inc. is a licensed motor carrier. Complaint, ¶ 1.

Response by SPF: Admit, but not material.

3. S.P.F. Logistics, Inc. and Hapag-Lloyd AG are parties to the Uniform Intermodal Interchange and Facilities Access Agreement. Complaint, ¶ 12.

Response by SPF: Admit but not material. “Ocean carrier practices, whether incorporated into the UIIA, or not, are within the Commission’s purview under section 41102(c)” 85 FR at 29649.

4. The conduct underlying the Complaint relates to the inland segment of shipments that were made on a merchant haulage basis. Complaint ¶ 36-38; Exhibit #2.

Response by SPF: Denied. The conduct underlying the complaint relates to the refusal or inability of Hapag to accept empty containers and then charging SPF inappropriate detention in violation of the Act (Complaint *passim*). SPF also objects to Hapag’s Exhibit 2 as the bills of lading proffered were not properly authenticated.

SPF’s Undisputed Facts.

5. SPF is a “person” as used in the Act. 1 U.S.C. §1.
6. Empty containers were unable to be returned due to lack of return locations or insufficient or non-existent appointments at Hapag's designated terminals, Complaint ¶38(b).
7. Empty containers were unable to be returned also because of requirements which were unlawfully imposed such as a dual transaction requirement, Complaint ¶38(a).
8. Notwithstanding the inability to return empty containers through no fault of its own, SPF was subject to unreasonable detention charges by Hapag, Complaint ¶26.
9. In addition to being assessed detention charges, SPF was damaged because it had to incur storage charges for the containers that were not able to be returned, additional drayage charges to move the empty containers to a storage yard, and other damages, according to proof, ¶39.

² A copy of SPF’s *verified* complaint is attached hereto as Exhibit B for ease of reference. Since the complaint is verified, SPF has refrained from submitting duplicative declarations regarding the allegations therein.

10. SPF has alleged violations of the Act, 46 U.S.C. §41102(c), Complaint, *passim*.
11. SPF alleges the return of empty containers to a common carrier relates to, or is connected with, the receiving, handling, storing, or delivering property, as contemplated by the Act at 46 U.S.C. §41102(c), see also 46 C.F.R. § 545.5(b) and (c)(2)(ii), Complaint ¶¶35-37.
12. An ocean carrier is responsible for having adequate terminal facilities for the return of empty containers, Complaint ¶36.
13. The related empty containers at issue in the SPF complaint were returned to Hapag from September 20, 2021 – November 9, 2021, prior to the enactment of OSRA 2022, Complaint, Exhibit A.

Exhibit B

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 24-24

S.P.F. LOGISTICS, INC.
Complainant,

v.

HAPAG LLOYD AG
Respondent.

VERIFIED COMPLAINT

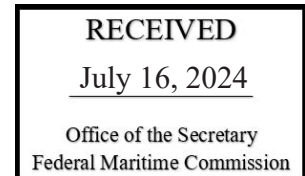
Comes now, Complainant S.P.F. Logistics, Inc. (“Complainant” or “SPF”), by its undersigned attorneys, and files this verified Complaint against Respondents, Hapag Lloyd AG (“Respondent” or “Hapag”) alleging violations of the Shipping Act of 1984, as amended, 46 U.S.C. §40101, et. seq. (the “Act”) as follows:

I. THE COMPLAINANT

1. Complainant, S.P.F. Logistics, Inc. is a California corporation that is operating as a licensed motor carrier with a place of business at 2418 E. Sepulveda Blvd., Long Beach, California 90810. Complainant may be contacted through counsel, Stephen M. Uthoff at suthoff@uthofflaw.com.

II. THE RESPONDENT

2. Respondent, Hapag Lloyd, AG is a corporation organized under laws of Germany. Hapag’s corporate headquarters is located at Ballindamm 25, D-20095, Hamburg, Germany.



3. Hapag does business in the United States, *inter alia*, through its agent, Hapag Lloyd (America) LLC, (“Hapag America”) a Delaware Limited Liability Company, with its principal place of business at 399 Hoes Lane, Piscataway, New Jersey, 08854. Hapag America is also qualified to do business in the state of California with an office at 555 W. Ocean Blvd., Suite 300, Long Beach, CA 90802.

4. At all times pertinent to this complaint, Hapag was and is an ocean common carrier as defined by the act at 46 USC §§40102(7) and (18) and is identified as Federal Maritime Commission (the “Commission”) organization number 005980.

5. Complainant believes the relevant email address for Hapag is c/o Jeff.Blaschko@hlag.com. Mr. Blaschko was the manager of terminal operations for Hapag in Long Beach, CA. Other publicly available email addresses are Uffe Ostergaard, President of Hapag America Uffe.Ostergaard@hlag.com and Thomas Engel, Sr. VP of Operations for Hapag America, Thomas.Engel@hlag.com.

III. JURISDICTION AND LEGAL AUTHORITY

6. The Commission has subject matter jurisdiction over this Complaint pursuant to the Act, 46 USC §40101 *et. seq.*

7. The Commission has personal jurisdiction over Hapag as an ocean common carrier as contemplated by the Act as defined in 46 USC §§40102(7) and (18).

8. This Complaint seeks reparations, equitable and other relief for alleged violations of 46 USC §41102(c) by Respondent’s failure to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing and delivering property.

IV. FACTUAL ALLEGATIONS

9. SPF is a motor carrier with operations at Long Beach, California.

10. As part of its operations in Long Beach, California SPF will dray full and empty containers to and from various terminals located in the Ports of Los Angeles and Long Beach.

11. As part of its Long Beach drayage operations, SPF is routinely required to pick up full imported 40 foot refrigerated¹ containers from and return the empty containers after unloading to Hapag designated terminal(s). Hapag uses several terminals in the Long Beach/Los Angeles port complex to handle its cargo and empties, such as Trapac Terminal, Total Terminals, Inc., Yusen Terminals, Inc., International Transportation Service, Inc., and SSA Terminal at Pier A.

12. SPF and Hapag are parties to the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). Hapag participates in the UIIA through Hapag America.²

13. Under the UIIA addendum applicable to Hapag, Hapag allows two days free time to return empty reefer containers after SPF has pulled full loads from Hapag’s terminals. Thereafter, per the Hapag Addendum to the UIIA, Hapag charges \$400.00 per day detention for each day the empty reefer container is not returned to Hapag beyond the free time allowed. Other rates may apply to different equipment such as forty foot or twenty foot dry containers.

14. Hapag may have further agreements directly with shippers, consignees, beneficial cargo owners or other parties which extend the amount of free time allowed or that may change the amount of detention charged on a daily basis. SPF may benefit from such agreements.

15. The cargo picked up from Hapag by SPF is generally considered overweight and must be hauled pursuant to permits issued by local and state jurisdictions on specialized chassis owned or controlled by SPF.

¹ Commonly referred to as a “reefer(s)” or a “reefer container”.

² “Ocean carrier practices, whether incorporated in the UIIA, or not, are within the Commission's purview under section 41102(c)).” Final Rule, 85 FR at 29649

16. In relation to the complaint herein, from on or about September 2021 through November 2021 SPF in its ordinary course of business, pulled full 40' reefer containers from Hapag terminals to its yard in Long Beach. Ordinarily, upon arrival, since the containers are overweight, the Hapag containers are devanned and transloaded by SPF's sister company into trailers for delivery to SPF customers. As such, the empty Hapag empty containers are routinely available for return to Hapag within the 2 days free time as requested under the UIIA. SPF in the regular course would attempt to return the empty reefer containers to Hapag within two days from the date the containers had been interchanged out full from Hapag terminals.

17. Hapag had a system whereby motor carriers such as SPF would have to send an email to Hapag in order to get a daily report of empty return location availability.

18. Upon sending a request to Hapag (at LGBEMPTIES@hlag.com) Hapag would respond to the email inquiry at its discretion or not at all.

19. Hapag would often reply that no locations were accepting the empty reefer containers or that empty returns were only allowed on a "dual" transaction basis. A dual transaction requires the motor carrier to pick up a full container at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty. As indicated in their published daily matrix, Hapag would not waive detention charges if a dual transaction location was available even if an empty container could have otherwise been returned.

20. If Hapag actually posted or emailed availability of an empty return location, before an empty container could be returned, the motor carrier must then make an appointment with the designated terminal. When SPF attempted to secure appointments to return the empty containers, SPF would often be notified that all appointments had been filled or that the terminal would not

accept empty containers, contrary to Hapag's designation. Hapag's position is that it had no control over the terminal appointment system and thus would not waive detention for lack of appointments. Further after requests, Hapag failed to provide an overall solution to the daily refusal to accept empty reefer container returns or lack of appointments.

21. If possible, SPF would take advantage of available regular or "dual" gate appointments. However, because of the continuous lack of Hapag's empty return locations, empty containers began accumulating at the SPF and its neighbor's yard. Since the full containers were originally pulled as overweight containers on specialized tri-axle chassis, many empties remained on the specialized SPF owned chassis for some period of time.

22. To maintain operations, SPF was forced to have the containers removed from the chassis and stacked in a neighbor's yard at SPF expense.

23. Although stacking the containers was an operational necessity, it created other issues and expense for SPF. Once the empties were taken off of chassis and stacked, when an empty location and appointment became available, SPF would have to secure a chassis, and incur extra time, labor and expense in order to re-mount the empty container to a chassis to have it delivered to a terminal. Thus, SPF incurred flip and storage charges in its efforts to return empties to Hapag.

24. Despite its best efforts to return empty containers because of the lack of available appointments, dual transactions or the volume of empty, stacked containers caused by Hapag's past actions, it was impossible to return all empty containers at once.

25. Hapag would charge detention in an unreasonable, arbitrary and capricious manner. To illustrate: 1) Hapag would issue its daily empty return availability; 2) if no empty return locations were available, Hapag waived detention charges for that day only; 3) if any locations

were identified for empty returns (either dual or regular) Hapag will not waive detention charges regardless of whether a dual transaction existed or if appointments were available at the terminal; 4) SPF would then determine if appointments are actually available for the returns; 5) if appointments were available SPF would return empties to the extent it reasonably could, given that the containers were no longer on chassis or if dual appointments were feasible; 6) in addition to the lack of dual transactions or lack of appointments, SPF became potentially responsible for detention on any containers in the stack (caused by Hapag's prior refusal to accept empties) that could not be returned if operationally it was impossible to return the containers. Thus, Hapag would still charge daily detention even if the empty, in reality, could not be returned through the actions of Hapag or its designated terminals. To be clear, as stated in its daily empty availability matrix, Hapag has made it clear that detention charges will not be waived for any days where they have designated for dual or regular empty transactions or if no appointments were available at the terminal or if SPF lacked the ability to take advantage of a dual appointment.

26. Working diligently with the availability allowed by Hapag, SPF has received substantial detention invoices from Hapag which have been disputed without success.

27. Apart from monitoring available slots to return empties through publicly available information, SPF also sent further inquiries directly to Hapag America seeking a solution to return empties to Hapag without result.

28. Attached as Exhibit A is a list of known empty containers at issue. Investigation is continuing to determine if further containers are at issue. Exhibit A lists the date the full container was interchanged out of the Hapag designated terminal, the believed last free day and when the container was ultimately accepted by Hapag. Exhibit A also includes the amount of unreasonable

detention that has been charged by Hapag on those containers³. SPF contends that it would have been able to return containers to Hapag during free time but for Hapag and its terminal's actions. To date all disputes by SPF have been denied by Hapag.

29. As of the filing of this complaint all containers have been returned.

30. Instead of adequately allowing for opportunities to return empty containers, Hapag involuntarily forced SPF to be responsible to store Hapag empty containers without compensation. Hapag's actions also interfered with the overall operations of SPF, since, *inter alia*, it unreasonably has to be "on call" to be ready if Hapag suddenly agrees to accept empty containers. Investigation and discovery are continuing as to further damages caused and suffered by SPF.

31. As more evidence of its intentional custom and practice of refusing empty returns, Hapag's refusal to accept empty containers is not limited to the Ports of Long Beach and Los Angeles. On information, at the time relevant to this dispute, Hapag issued a blanket refusal to accept empty containers for at least one of its designated terminals in the Port of Oakland.

32. In addition to the actions above, Hapag has also commenced suit against SPF in an effort to collect these unlawful detention charges.

V. CAUSATION - VIOLATIONS OF THE SHIPPING ACT

AND INJURY TO COMPLAINANT

33. In reference to the aforementioned plead facts and recitals Complainant further alleges the following violations of the Act.

34. Hapag is a common carrier by water as defined by the Act.

³ As mentioned in paragraph 32 herein, Hapag has commenced suit against SPF alleging \$131,119.00 in disputed detention charges. However, Hapag did not include a list of the applicable containers in its suit. Thus, investigation is continuing to determine if Hapag seeks detention on containers not included in Exhibit A and SPF reserves the right to include those or similar detention charges as part of this claim.

35. The Act at 46 USC §41102(c) provides: “**(c) Practices in handling property.** A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

36. The return of empty containers to a common carrier relates to or is connected with the receiving, handling, storing, or delivering property, as contemplated by the Act (see 46 C.F.R. §545.5(c)(ii)). An ocean carrier such as Hapag is responsible for having adequate terminal facilities see 85 FR 29638, 29650.

37. The Commission has adopted interpretive rule 46 C.F.R. §545.5 to help identify unreasonable practices as contemplated by 46 USC §41102(c). It provides in its relevant part:

“(c) Incentive principle—

(1) General. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) Particular applications of incentive principle—...

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(d) Demurrage and detention policies. The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. ...

(f) Non-Preclusion. Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.”

38. The above factual recitals establish that Hapag's practices have impacted freight fluidity and Hapag's unreasonable practices and policies have and gave rise to the imposition of detention charges upon SPF when empty containers cannot be returned. Examples include:

a. Where dual transactions were required to return an empty container. SPF submits this is an unreasonable practice regardless if SPF can take advantage of such appointments⁴. In the alternative, if a dual transaction was not available to SPF, no detention should be charged.

b. Where Hapag designates a terminal for return of empties but the terminal itself has no appointments (or an inadequate amount of appointments) to allow a return of an empty.

c. Where Hapag creates operational difficulties for SPF whereby it is required to deck and stack Hapag's empty containers. Thereafter if a single empty return is available, there is no consideration if operationally the empty can be returned, including the requirement to have chassis available, to the container placed on a chassis and to meet any appointment. Further the number of containers refused by Hapag that had to be stored by SPF without compensation, should be taken into account when determining the ability to return only a limited number at any one time.

39. Hapag's actions also caused additional injury to SPF including; 1) Hapag created operational difficulties for SPF whereby it is required to maintain Hapag empties on its specialized chassis for unreasonable amounts of time and/or stack Hapag empty containers; 2) generally

⁴ As noted by the Commission at 85 FR 29638, 29655 "The Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement."

interfered with the efficient operations of SPF; 3) required SPF to store Hapag equipment without compensation; 4) SPF is now forced to defend suit from Hapag.

40. The above recitals support an award of reparations under 46 USC §41102(c) as further interpreted by 46 C.F.R. §545.4.

VI. DAMAGES

41. Hapag's violations of the Act have caused the following damages to Complainant.

- a. The cost of storage of Hapag's empty containers; and
- b. The chassis use fees associated with the storage of Hapag's empty containers;

and

c. To the extent applicable, the cost to flip Hapag's empty containers to and from the chassis when necessary; and

d. detention charges assessed against SPF; and

e. re-delivery charges; and

f. damages associated with the disruption of the operations of SPF as a result of Hapag's refusal to accept its empty containers;

g. damages associated with defending suit by Hapag including costs and fees therein; and

g. investigation as to other damages suffered by SPF is ongoing.

42. In addition to the damages suffered by SPF, based upon information and belief, the violations committed by Hapag have also effected similarly situated motor carriers and members of the public.

43. Detention charges assessed by Hapag are included in the amounts listed in Exhibit

A. Storage charges related to Hapag's actions are estimated to be at minimum \$57,750.00

Investigation and discovery are continuing as to all damages. SPF reserves the right to provide proof of all damages for the purposed of reparations pursuant to 46 C.F.R. §§502.251 et. seq.

VII. REQUEST FOR RELIEF

44. WHEREFORE Complainant requests entry of an order against Respondent for the following: Complainant requests that respondent be required to answer the charges made in this complaint; that after hearing or other summary determination, the Commission order respondent to:

- a. Cease and desist from violating the Act; and
- b. to put in place lawful and reasonable practices to avoid continuing and future violations of the Act.; and
- c. Payment of reparations for the unlawful conduct described herein, in amounts according to proof for, but not limited to the following;
 - i. For container storage, chassis use and redelivery fees; and
 - ii. For flip charges; and
 - iii. for reimbursement or cancellation of detention invoices listed in Exhibit A or as otherwise issued by Hapag; and
 - iii. For disruption of SPF's operations resulting from Respondent's unlawful conduct according to proof;
 - iv. for damages associated with defending suit by Hapag; and
 - v. For interest on the amounts awarded; and
- d. For attorney's fees and costs pursuant to 46 USC §41305, 46 C.F.R. §502.254 or as otherwise recoverable; and
- e. For payment of any other sums the Commission deems appropriate; and

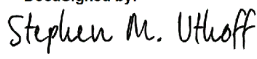
f. For such other relief as the Commission deems just and proper, including injunctive relief, temporary or permanent.

VII. REQUEST FOR ORAL HEARING

45. Complainant requests a hearing on this matter and further requests that the hearing be conducted at the Commission's regional office or other appropriate location in Los Angeles, County California.

Date: 7/16/2024

Respectfully submitted,

DocuSigned by:

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Stephen M. Uthoff
The Uthoff Law Corporation
111 W. Ocean Blvd., Suite 400
Long Beach, California 90802
t. 562-437-4301
f. 562-437-4341
email; suthoff@uthofflaw.com
Attorneys for Complainant,
S.P.F. Logistics, Inc.

Verification

I Peter Balov, president of S.P.F. Logistics, Inc. am authorized to make this verification on behalf of SPF. I hereby declare under penalty of perjury that I have read the contents of this complaint and that the facts stated therein are true based upon my knowledge information and belief, on information as gathered by the employees and agents of SPF and based upon information publicly available. I declare that the foregoing is true and correct under the laws of the United States.

7/15/2024

DocuSigned by:

Peter Balov

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Peter Balov

CONTAINER	Master Bl	container type	load out	LFD	empty in	HL INVOICE	AMOUNT
HLBU9196028	HLCUSCL210752243	40' reefer	9/9/2021	9/10/2021	9/24/2021	2120103406	\$1,200.00
HLBU9094936	HLCUSCL210818030	40' reefer	9/29/2021	10/1/2021	10/19/2021	2120197162	\$1,600.00
LNXU7555696	HLCUSCL210747971	40' reefer	9/9/2021	9/10/2021	11/4/2021	2120269012	\$9,200.00
CXRU1310900	HLCUSCL210786561	40' reefer	9/9/2021	9/13/2021	11/4/2021	2120269077	\$8,800.00
UACU4726977	HLCUSCL210765365	40' reefer	9/10/2021	9/19/2021	9/20/2021	2120163018	\$400.00
HLBU9229664	HLCUSCL210786572	40' reefer	9/10/2021	9/19/2021	9/20/2021	2120163027	\$400.00
GESU9508532	HLCUSCL210786540	40' reefer	9/10/2021	9/19/2021	9/20/2021	2120163027	\$400.00
TCLU1089602	HLCUSCL210744550	40' reefer	9/10/2021	9/13/2021	11/4/2021	2120261405	\$9,200.00
HLBU9159050	HLCUSCL210784450	40' reefer	9/10/2021	9/13/2021	11/4/2021	2120261406	\$9,200.00
HLBU9027584	HLCUSCL210752064	40' reefer	9/10/2021	9/13/2021	11/4/2021	2120261435	\$9,200.00
BMOU9216712	HLCUSCL210752181	40' reefer	9/11/2021	9/14/2021	9/24/2021	2120103552	\$1,200.00
HLBU9033740	HLCUEUR2107GVSF3	40' reefer	9/11/2021	9/14/2021	9/24/2021	2120103558	\$1,200.00
TCLU1044486	HLCUSCL210814124	40' reefer	9/11/2021	9/15/2021	9/24/2021	2120103567	\$800.00
HLBU9237765	HLCUSCL210813936	40' reefer	9/11/2021	9/15/2021	10/21/2021	2120207003	\$4,800.00
UACU4783426	HLCUSCL210744505	40' reefer	9/14/2021	9/15/2021	11/4/2021	2120261407	\$9,200.00
HLBU9473204	HLCUSCL210784300	40' reefer	9/14/2021	9/15/2021	11/4/2021	2120261408	\$9,200.00
HLBU9455710	HLCUEUR2107GOOS2	40' reefer	9/14/2021	9/15/2021	11/4/2021	2120261437	\$9,200.00
TCLU1180630	HLCULAT210704910	40' reefer	9/14/2021	9/17/2021	11/4/2021	2120261440	\$8,800.00
CAIU5669602	HLCUSCL210813779	40' reefer	9/14/2021	9/15/2021	11/4/2021	2120269150	\$9,200.00
HLBU9386748	HLCUSCL210813874	40' reefer	9/14/2021	9/15/2021	11/4/2021	2120269159	\$9,200.00
UACU4795089	HLCUSCL210775708	40' reefer	9/16/2021	9/17/2021	11/4/2021	2120261446	\$8,800.00
HLBU9112407	HLCUSCL210842022	40' reefer	9/16/2021	9/20/2021	11/4/2021	2120261451	\$8,400.00
TTNU8982520	HLCUSCL210785610	40' reefer	9/29/2021	10/1/2021	10/19/2021	2120197165	\$1,600.00
HLBU9259189	HLCUEUR2108EDVK7	40' reefer	10/21/2021	10/26/2021	11/9/2021	2120286348	\$4,000.00
HLBU9186101						2120286436	\$2,000.00
							\$127,200.00

CERTIFICATE OF SERVICE

I hereby certify that on September 26, 2024, the foregoing COMPLAINANT'S OPPOSITION TO RESPONDENT HAPAG-LLOYD AG'S MOTION FOR SUMMARY JUDGMENT has been served upon all interested persons and parties by electronic means pursuant to the below list.

**Stephen
M. Uthoff** Digitally signed by
Stephen M. Uthoff
Date: 2024.09.26
05:17:50 -07'00'

Stephen M. Uthoff

Counsel for Respondents Hapag-Lloyd, A.G.

Wayne R. Rohde
Rachel Schwartz
COZEN O'CONNOR
1200 Nineteenth Street, NW, Suite 300
Washington, DC 20036
Telephone: (202) 463-2504
Emails: wrohde@cozen.com; rschwartz@cozen.com

Presiding Administrative Law Judge

Erin M. Wirth, Chief Administrative Law Judge
Office of Administrative Law Judges
Federal Maritime Commission
800 N. Capitol St., N.W.
Washington D.C. 20573-0001
judges@fmc.gov